MACROECONOMICS PROJECT

SECTION 2 — GROUP 1

Vietnam

Socialist Republic of Vietnam

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01 Overview of the Country
02 Macroeconomic Performance (FY 2022–25 & Forecasts)
03 Three Macroeconomic Difficulties
04 Remedial Policy Measures
05 AI Prompt Appendix

Data sourced from: World Bank (worldbank.org/vietnam) · IMF Article IV 2025 (imf.org) · OECD Economic Survey Vietnam 2025 (oecd.org) · GSO Vietnam (gso.gov.vn) · AMRO Asia (amro-asia.org)

01 — Overview of the Country

Socialist Republic of Vietnam · Southeast Asia

Capital **Hanoi**	Currency **Vietnamese Đồng (VND)**
Area **331,212 km²**	Population **102.3 million (2025)**
GDP (2025) **~US$ 514 Bn (nominal)**	GDP per Capita **US$ 5,026 (2025)**
HDI **0.766 (High) — 2023**	Political System **One-party Socialist Republic**

Economy

Vietnam is a lower-middle income, export-driven emerging economy. Following Đổi Mới reforms (1986), it transformed into a manufacturing & electronics powerhouse. Electronics, textiles, seafood and machinery drive exports. FDI anchors growth — Samsung, Intel and LG operate major facilities.

Political & Social Context

Governed by the Communist Party of Vietnam (CPV). Strong human capital — 95% lower-secondary enrollment; HCI highest among lower-middle-income countries. Rapid urbanisation (~40%) and a large working-age cohort remain structural tailwinds.

SWOT Snapshot

S: Young demographics, high FDI, 17 FTAs

W: Concentrated exports, weak banking, high NPLs

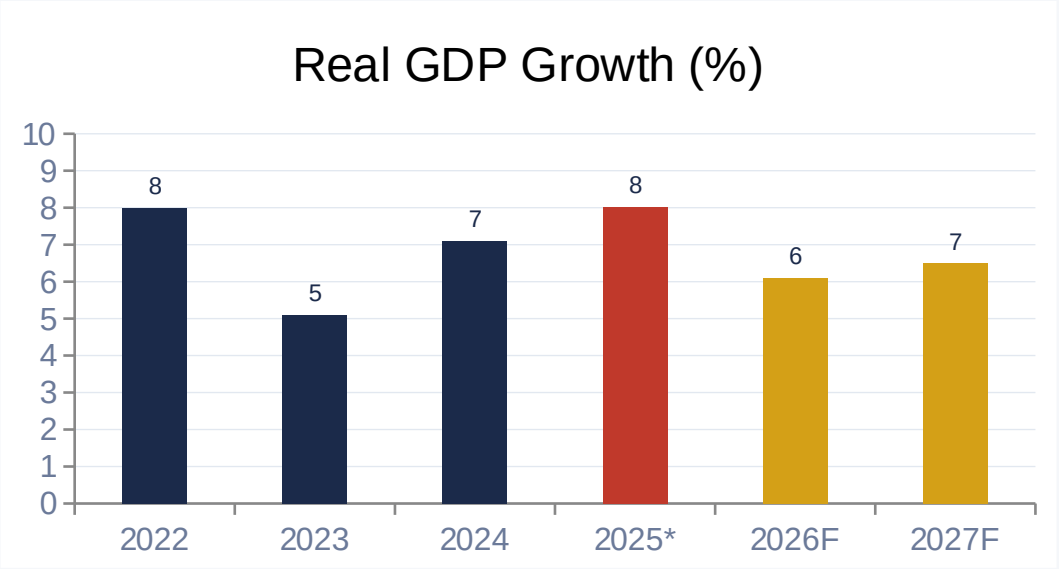
O: China+1 shift, tourism, digitalisation

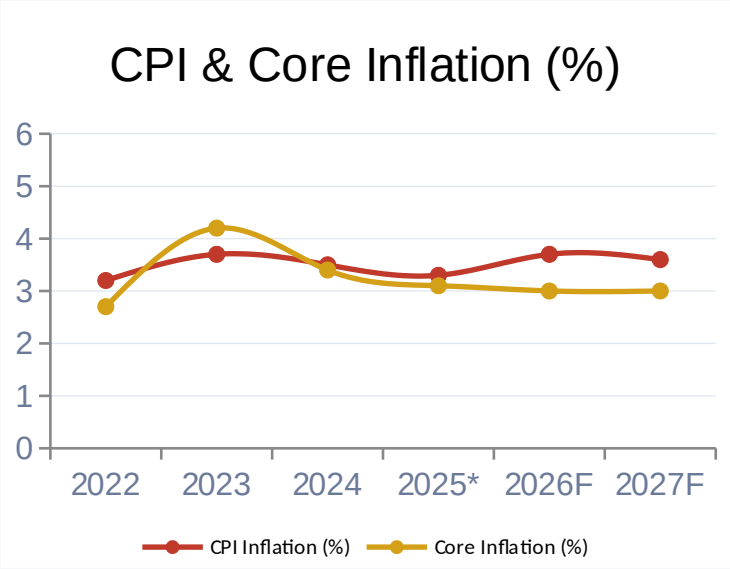
T: US tariffs 20%, real estate stress, climate risk

Sources: World Bank – Vietnam Overview: worldbank.org/en/country/vietnam/overview | IMF Country Data: imf.org/en/countries/VNM | GSO Vietnam 2025: gso.gov.vn | UNDP HDI 2023: hdr.undp.org | Wikipedia – Economy of Vietnam: en.wikipedia.org/wiki/Economy_of_Vietnam

02 — Macroeconomic Performance (I): GDP Growth & Inflation

FY 2022–2025 Actuals · 2026–2027 Forecasts





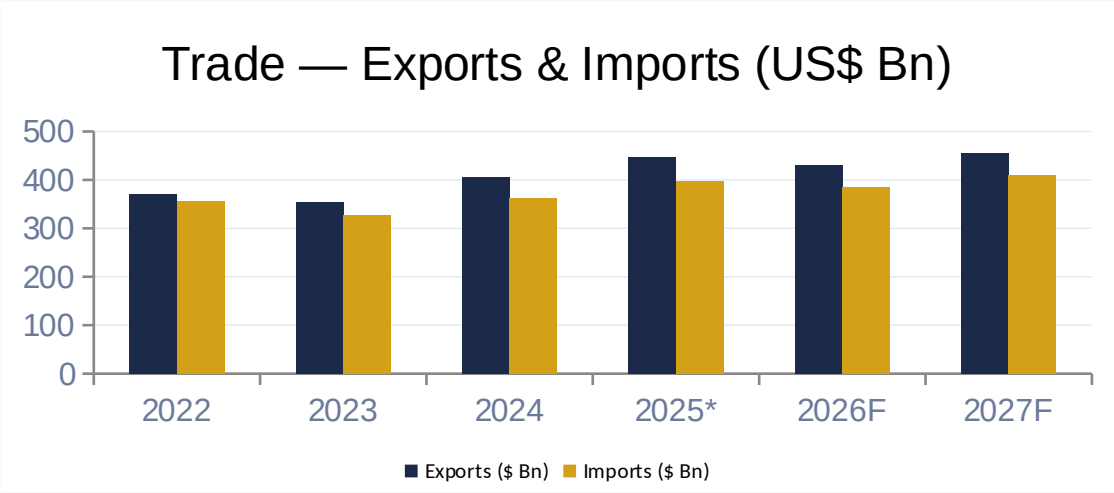
- 8.0% growth in 2022 — post-COVID surge; among Asia's highest
- Slowed to 5.1% in 2023 — weak trade + Saigon Commercial Bank collapse
- Recovered to 7.1% (2024) & 8.02% (2025) — strongest since 2011
- 2026–27 forecast 6.1–6.5% (WB); US tariff headwinds remain key risk

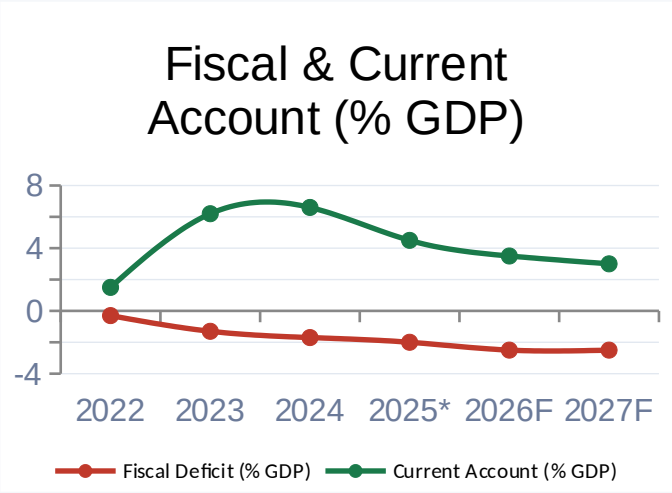
**2025 Full-year Actual (GSO Vietnam, Dec 2025) | F = Forecast*

Sources: GSO Vietnam – GDP Press Release 2025: gso.gov.vn/en/homepage.html | IMF WEO April 2025: imf.org/en/Publications/WEO | World Bank Vietnam Economic Update 2025: worldbank.org/en/country/vietnam | OECD Economic Survey Vietnam 2025: oecd.org/economy/vietnam-economic-survey | Trading Economics – Vietnam GDP: tradingeconomics.com/vietnam/gdp-growth-annual

02 — Macroeconomic Performance (II): Trade, BoP & Public Finances

FY 2022–2025 Actuals · 2026–2027 Forecasts





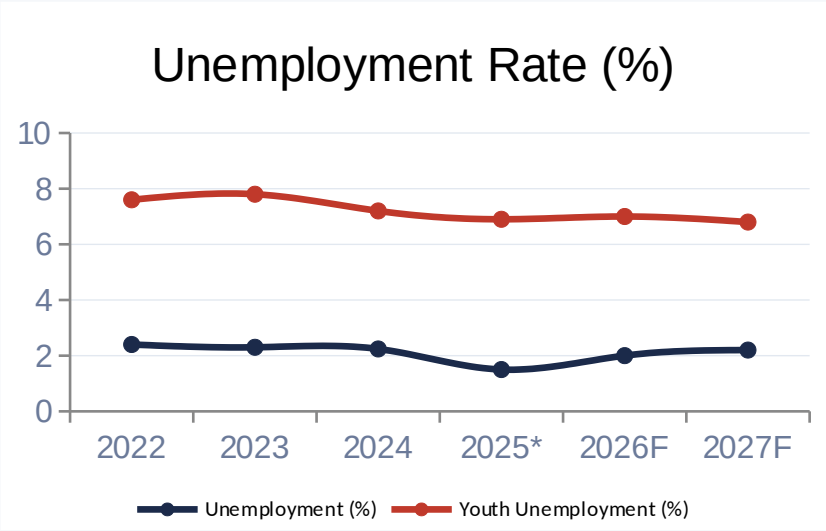
$25B	6.6%	-1.7%	75%	~37%
Trade Surplus 2024	Current Acct Surplus/GDP 2024	Fiscal Deficit % GDP (2024)	FDI Share of Exports 2025	Govt. Debt % GDP (2024)

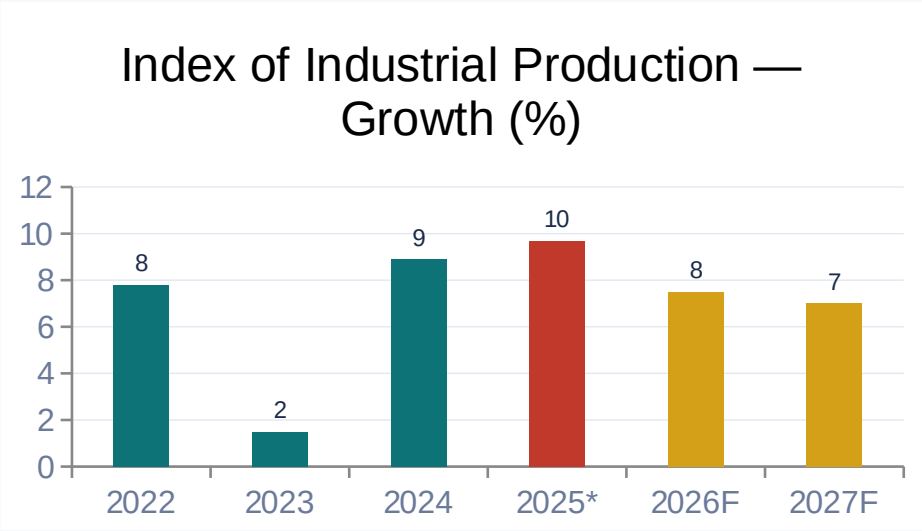
Key partners: USA 29.5% · China 18.2% · EU 13.7% · ASEAN 9.1% · S.Korea 6.3% | Top exports: Electronics, Textiles, Machinery, Footwear, Seafood

Sources: IMF Article IV Consultation – Vietnam 2025: imf.org/en/countries/VNM | IMF Selected Economic Indicators 2024 (Table): regulations.gov/document/ITA-2023-0010-0047 | World Bank Vietnam Trade Data: wits.worldbank.org | OECD Economic Survey Vietnam 2025: oecd.org/economy/vietnam-economic-survey | FocusEconomics – Vietnam: focus-economics.com/countries/vietnam

02 — Macroeconomic Performance (III): Labour Market & Industrial Output

FY 2022–2025 Actuals · 2026–2027 Forecasts





2.24%	Unemployment 2024 — among lowest in ASEAN (OECD 2025)
57 Mn	Labour force 2025; 71.3% employment rate (Wikipedia/ILO)
27.5%	Agriculture employment — low-productivity drag (GSO 2022)
~3%	Real wage growth 2024; boosted by 21% public wage rise Jul 2023

Sources: GSO Vietnam – Labour Force Survey 2025: gso.gov.vn/en/homepage.html | OECD Economic Survey Vietnam 2025 (p.18–22): oecd.org/economy/vietnam-economic-survey | ILO – Vietnam Labour Market: ilo.org/asia/countries/viet-nam | Wikipedia – Economy of Vietnam (Labour section): en.wikipedia.org/wiki/Economy_of_Vietnam | CEIC Data – Vietnam IIP: ceicdata.com/en/indicator/vietnam/industrial-production-index-growth

03 — Problem 1: Dangerous Export Concentration & US Tariff Shock

Direct Macroeconomic Difficulty

Core Problem

Vietnam's exports (~84% of GDP) are dangerously concentrated in electronics (40%+) and a single market — the US (29.5% of exports ≈ ~30% of GDP). In August 2025, the US imposed a 20% tariff on Vietnamese goods (40% on transshipments), threatening ~$130B in annual exports. This has direct recessionary implications.

US imposes 20% tariff (Aug 2025)

→ Export revenues & FDI decline

→ IIP contracts, industry slows

→ VND depreciates, import costs rise

→ Inflation risk increases

→ GDP growth downgraded to 6.6%

~24.8 %
of GDP from US-bound exports

-5.7%
US export decline post-tariff Aug–Oct 2025

20%
US tariff rate eff. Aug 2025

6.6%
WB revised 2025 growth forecast

Sources: OECD Economic Survey Vietnam 2025 – p.8–14: oecd.org/economy/vietnam-economic-survey | IMF Article IV 2025 – External Sector: elibrary.imf.org/view/journals/002/2025/283 | US-ASEAN Business Council – Vietnam Trade Update Q3 2025: usasean.org/article/vietnam-macroeconomic-trade-update | East Asia Forum – Vietnam Double-Digit Growth (Mar 2026): eastasiaforum.org/2025/12/20/vietnam-confronts-the-limits | World Bank – Vietnam Growth Forecast Sep 2025: tradingeconomics.com/vietnam/gdp-growth-annual/news/483530

03 — Problem 2: Financial Sector Fragility & Real Estate Stress

Direct Macroeconomic Difficulty

What Happened

- Saigon Commercial Bank (SCB) — Vietnam's 5th largest — collapsed Oct 2022 amid fraud scandal, triggering bank runs.
- Real estate sector (financing ~20% of bank credit) saw 90% fewer licensed projects in 2022. Hundreds of developers face liquidity crises.
- NPLs have risen to their highest level in a decade. Systemic risk remains elevated per IMF 2025.
- Corporate bond market: large maturities falling due in 2025-H2; limited, interconnected investor base creates rollover cliff risk.
- Private debt is elevated; significant corporate debt at risk especially in real estate and SME sectors.

↑ Decade-high

NPL Ratio 2024
(Non-Performing Loans)

−90%

Licensed housing
projects 2022 vs 2021

20%

Bank credit
exposed to real estate

~37%

Govt. Debt / GDP
2024 estimate

Sources: IMF Article IV Consultation 2025 – §20 Financial Risks: elibrary.imf.org/view/journals/002/2025/283 | OECD Economic Survey Vietnam 2025 – Banking/Real Estate: oecd.org/economy/vietnam-economic-survey | AMRO Asia – Vietnam Assessment Mar 2025: amro-asia.org/vietnam-targeted-macro-policies | Krungsri Research – Vietnam Financial 2025: krungsri.com/en/research/research-intelligence/vietnam-financial-2025 | AMRO Asia – Recalibrate Policy Oct 2024: amro-asia.org/vietnam-recalibrate-policy-mix

03 — Problem 3: Structural Productivity Trap & Demographic Transition

Broad Economic Problem with Indirect Macroeconomic Implications

Low Productivity

- ~50% of GDP growth since 2000s from electronics alone; broader productivity gains are shallow.
- FDI firms (75% of exports) have weak linkages with local firms — limited technology spillover.
- 27.5% of workers in low-productivity agriculture; SME sector underfunded.
- Vietnam risks the middle-income trap as labour cost advantages erode vs peers.

Demographic Shift

- Fertility rate declining below replacement; ageing population burden rising rapidly.
- Working-age population share will begin declining post-2040, shrinking the demographic dividend.
- Pension & healthcare spending set to rise by 10–16% of GDP by 2060 (OECD).
- Labour migration to urban zones creates regional inequality and social strain.

Macro Implications

- Slower productivity → structural GDP deceleration toward 5–6% post-2030.
- Ageing population will strain public finances and narrow fiscal space for counter-cyclical policy.
- Inability to move up value chain increases US tariff & competitor manufacturing vulnerability.
- Skills mismatch between workers and high-tech FDI demands widens income inequality.

Sources: OECD Economic Survey Vietnam 2025 – Productivity & FDI (ch.2): oecd.org/economy/vietnam-economic-survey | World Bank – Vietnam Human Capital: worldbank.org/en/country/vietnam/overview | OECD – Vietnam Pension Outlook 2025: oecd.org/pensions/vietnam | ILO – Vietnam Labour Productivity: ilo.org/asia/countries/viet-nam | GSO Vietnam – Population Projections: gso.gov.vn/en/homepage.html

04 — Remedy 1: Export Diversification & Strategic Trade Reorientation

Addressing: US Tariff Exposure & Export Concentration · Mundell-Fleming Open Economy Framework

Macroeconomic Mechanism

Under flexible exchange rate (Mundell-Fleming): fiscal & trade policy to diversify exports → shifts NX composition → reduces BOP vulnerability. A diversified base lowers the external shock multiplier on domestic GDP.

Urgency & Feasibility

Vietnam has 17 FTAs — CPTPP, RCEP, EU-VN FTA. EU and ASEAN markets are underpenetrated relative to US dependency. India and Middle East offer high-growth opportunities for textiles, seafood and electronics.

01 — Accelerate FTA Utilisation

Intensify CPTPP and EU-VN FTA provisions. Target 5% EU share increase; dedicated FTA desks for SME exporters.

02 — Upgrade Value Chain Position

Incentivise R&D co-investment between FDI firms and local suppliers. Move from assembly to design; target advanced electronics.

03 — Deepen ASEAN + India Links

Pursue bilateral manufacturing corridors with India. Use RCEP to create complementary supply chains reducing US dependency.

04 — Address Transshipment Risk

Enforce rules-of-origin compliance rigorously to avoid 40% transshipment tariffs. Build domestic value-addition benchmarks.

05 — Expand Tourism & Services

Diversify services exports. Target 25 Mn tourists/year by 2027 to reduce dependence on goods exports.

06 — SBV Monetary Policy Support

Maintain accommodative stance; allow controlled VND depreciation to boost export competitiveness without inflation overshoot.

Sources: OECD 2025 – FTA & Trade Recommendations (ch.3): oecd.org/economy/vietnam-economic-survey | IMF Article IV 2025 – External Sector Recommendations: elibrary.imf.org/view/journals/002/2025/283 | WTO – Vietnam Trade Profile: wto.org/english/res_e/statis_e/daily_update_e/trade_profiles/VN_e.pdf | World Bank – Vietnam Trade Integration: worldbank.org/en/country/vietnam | ASEAN Secretariat – RCEP Implementation: asean.org/asean-economic-community/rcep

04 — Remedy 2: Financial Sector Stabilisation & Real Estate Recovery

Addressing: Banking Fragility, NPL Crisis & Real Estate Stress

Policy Logic (Expansionary Fiscal + Monetary Mix)

Bank recapitalisation → improved lending → higher credit supply → domestic demand recovery → GDP stabilisation. Macroprudential tightening in real estate prevents speculative excess. Structural reforms enable orderly recovery.

Strengthen Bank Resolution Framework

→ Recapitalise weak banks (SBV)

→ Resolve NPLs via Asset Recon. Co.

→ Enforce new Land Law 2024

→ Credit flow restored → Growth

Bank Resolution Law

Comprehensive resolution framework with clear triggers, bail-in provisions & depositor protection fund to prevent future bank failure contagion.

NPL Resolution via ARC

Create/strengthen an Asset Reconstruction Company to absorb NPLs at discounted prices — cleaning bank balance sheets for fresh lending.

Real Estate Law Enforcement

Fully implement 2024 Land Law, Housing Law and Real Estate Business Law sub-regulations by Q1 2026 to remove project bottlenecks.

Macroprudential Limits

Implement LTV, DSTI and credit concentration caps on real estate lending to prevent future speculative excess.

Basel III Capital Adequacy

Ensure all major banks comply with Basel III Tier-1 capital requirements; mandate adequate NPL provisioning buffers.

Bond Market Reforms

Diversify the corporate bond investor base beyond financial institutions; improve transparency under new Securities Law amendments.

Sources: IMF Article IV 2025 – Financial Sector Rec.: elibrary.imf.org/view/journals/002/2025/283 | AMRO Asia – Vietnam Banking Reforms Mar 2025: amro-asia.org/vietnam-targeted-macro-policies | OECD 2025 – Banking Reform (ch.4): oecd.org/economy/vietnam-economic-survey | World Bank Group BIS Capital Adequacy Data: bis.org/statistics/bankstats.htm | Krungsri – Vietnam Financial Sector 2025: krungsri.com/en/research/research-intelligence/vietnam-financial-2025

04 — Remedy 3: Structural Reform — Productivity, Skills & Demographic Policy

Addressing: Middle-Income Trap, Ageing Population & Low Value-Chain Position

Skill Upgrading & TVET Reform

Align technical/vocational education with FDI firms' skill needs. Target 50% VET enrollment by 2027 (current ~30%).

Pension Reform

Gradually raise retirement age (60M/55F → 62/60 by 2030). Diversify pension fund investments to reduce fiscal burden.

R&D Tax Incentives

Double R&D tax credit for firms investing in domestic innovation. Target R&D spend from 0.4% to 1% of GDP by 2030.

Pro-Natalist Policy

Expand childcare subsidies, maternity benefits and tax credits for families with ≥2 children to slow fertility decline.

Digital Economy Acceleration

Fast-track e-government, digital payments and SME digitalisation. Target 50 Mn adults with bank accounts by 2027.

Agricultural Productivity

Mechanise and digitalise agriculture to free up 5–10 Mn workers for higher-productivity sectors by 2030.

FDI Linkage Programme

Mandate technology transfer in FDI licences for strategic sectors. Support supplier development between Samsung, LG and local firms.

Inclusive Fiscal Policy

Broaden tax base (15% GDP vs OECD 34%). Expand healthcare & social protection for ageing costs sustainability.

Sources: OECD Economic Survey Vietnam 2025 – Structural Reform (ch.5–6): oecd.org/economy/vietnam-economic-survey | World Bank – Human Capital Index Vietnam: worldbank.org/en/publication/human-capital | OECD – Pensions Outlook / Vietnam Social Spending: oecd.org/pensions | GSO Vietnam – Population & Labour Projections: gso.gov.vn/en/homepage.html | World Bank – Vietnam Digital Economy Strategy: worldbank.org/en/country/vietnam

Appendix — AI Prompts Used in this Project

As required per project guidelines · AI Tool: Claude (Anthropic) · claude.ai

P1 Country Data Extraction

Prompt: "Extract Vietnam macroeconomic data for FY 2022–2025 including GDP growth, CPI inflation, unemployment rate, trade balance, fiscal deficit, current account balance, and industrial production index from IMF, World Bank, OECD and GSO Vietnam sources. Include 2026–2027 forecasts."

Used for: Generated the data foundation for all three macroeconomic performance slides (Slides 3–5). **| Verified via:** Cross-checked against OECD Economic Survey Vietnam 2025 (oecd.org), IMF Article IV 2025 (imf.org), World Bank Economic Update (worldbank.org), and GSO Vietnam press release (gso.gov.vn).

P2 Problem Identification

Prompt: "As a macroeconomics policy analyst, identify the 3 most distinct macroeconomic difficulties Vietnam faces. Of the three, 2 must be direct macroeconomic difficulties and 1 a broader structural problem with indirect macroeconomic implications. Use 2022–2025 data from credible international sources."

Used for: Structured the three-problem framework: (1) US tariff/export concentration, (2) banking & real estate fragility, (3) productivity trap & demographic transition. **| Verified via:** Validated against AMRO Asia Vietnam Assessment 2025 (amro-asia.org), OECD 2025 Survey priority areas, and IMF 2025 Article IV key risks (elibrary.imf.org).

P3 Policy Remedies with Theoretical Basis

Prompt: "Suggest macroeconomic policy remedies for each problem for Vietnam. For direct problems, apply Mundell-Fleming, IS-LM, Keynesian aggregate demand frameworks. For the structural problem, apply supply-side and fiscal measures. Ensure remedies are specific, actionable and grounded in Vietnam's institutional context."

Used for: Generated the policy architecture for Slides 9–11 including Mundell-Fleming application and Basel III banking reference. **| Verified via:** Reviewed against IMF policy recommendations (Article IV 2025: imf.org), OECD structural reform suggestions (OECD 2025: oecd.org), and World Bank programme guidelines (worldbank.org).

Sources: All data independently verified against: IMF (imf.org/en/countries/VNM) | OECD (oecd.org/economy/vietnam-economic-survey) | World Bank (worldbank.org/en/country/vietnam/overview) | GSO Vietnam (gso.gov.vn/en/homepage.html) | AMRO Asia (amro-asia.org)